

TOWN OF CORNWALL
Consolidated Financial Statements
March 31, 2022

TOWN OF CORNWALL
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March 31, 2022

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MANAGEMENT'S RESPONSIBILITY FOR FINANCIAL REPORTING

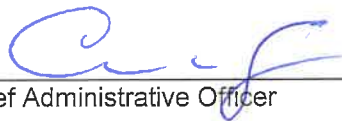
The accompanying consolidated financial statements of the Town of Cornwall are the responsibility of management and have been prepared in accordance with Canadian Accounting Standards for the Public Sector. A summary of the significant accounting policies are described in the consolidated financial statements. The preparation of consolidated financial statements necessarily involves the use of estimates based on management's judgment, particularly when transactions affecting the current period cannot be finalized with a certainty until future periods.

To meet its responsibility, management maintains a system of internal controls designed to provide reasonable assurance that assets are safeguarded, transactions are properly authorized and recorded in compliance with legislative and regulatory requirements, and reliable financial information is available on a timely basis for preparation of the consolidated financial statements. These systems are monitored and evaluated by management.

The council met with management and the external auditors to review the consolidated financial statements and discuss any significant financial reporting or internal control matters prior to their approval of the consolidated financial statements.

The consolidated financial statements have been audited by MRSB Chartered Professional Accountants Inc., independent external auditors appointed by the Town. The accompanying Independent Auditor's Report outlines their responsibilities, the scope of their examination and their opinion on the consolidated financial statements.

On behalf of the Town of Cornwall:



Chief Administrative Officer

INDEPENDENT AUDITOR'S REPORT

To the Mayor and Council of the Town of Cornwall

Opinion

We have audited the consolidated financial statements of the Town of Cornwall (the Town), which comprise the consolidated statement of financial position as at March 31, 2022, and the consolidated statements of operations, changes in net debt and cash flows for the year then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Town as at March 31, 2022, and the results of its operations and its cash flows for the year then ended in accordance with Canadian Public Sector Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Canadian generally accepted auditing standards. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Town in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in Canada, and we have fulfilled our other ethical responsibilities in accordance with those requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with Canadian Public Sector Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Town's ability to continue as a going concern, disclosing, as applicable, matters relating to going concern and using the going concern basis of accounting unless management either intends to liquidate the Town or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Town's financial reporting process.

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Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Canadian generally accepted auditing standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements. As part of an audit in accordance with Canadian generally accepted auditing standards, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Town's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Town's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Town to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

MRSB Chartered Professional Accountants Inc.

MRSB CHARTERED PROFESSIONAL ACCOUNTANTS INC.

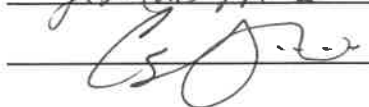
Charlottetown, PE

October 12, 2022

TOWN OF CORNWALL
Consolidated Statement of Financial Position
March 31, 2022

	2022	2021
Financial assets		
Cash and cash equivalents		
Cash	\$ 380,212	\$ 595,083
Restricted cash	1,698,973	532,616
Accounts receivable (Note 3)	818,532	767,422
Long term investments (Note 4)	126,413	-
	<u>3,024,130</u>	<u>1,895,121</u>
Liabilities		
Bank indebtedness	-	88,289
Demand loans (Note 5)	1,350,000	300,000
Accounts payable and accrued liabilities	1,410,662	750,055
Deferred revenue (Note 6)	146,211	698,296
Retirement obligation (Note 7)	169,026	156,200
Long term debt (Note 8)	2,677,697	3,169,371
	<u>5,753,596</u>	<u>5,162,211</u>
Contingent liability (Note 9)		
Commitments (Note 10)		
Net debt (Statement 6)	<u>(2,729,466)</u>	<u>(3,267,090)</u>
Non-financial assets		
Prepaid expense	34,178	63,194
Intangible assets (Note 11)	107,368	69,550
Tangible capital assets (Schedule 1 and 2)	33,643,189	30,405,105
	<u>33,784,735</u>	<u>30,537,848</u>
Accumulated surplus (Statement 5)	<u>\$ 31,055,269</u>	<u>\$ 27,270,759</u>

ON BEHALF OF COUNCIL

 _____ Mayor
 _____ Councillor

Notes 1 - 21 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Consolidated Statement of Operations
Year Ended March 31, 2022

	Budget 2022	Actual 2022	Actual 2021
Revenues			
Town (Schedule 3)	\$ 3,747,080	\$ 4,047,249	\$ 3,586,650
Parks and Recreation (Schedule 5)	393,225	470,403	485,137
Water and Sewer (Schedule 6)	1,558,473	1,702,474	1,551,680
	<u>5,698,778</u>	<u>6,220,126</u>	<u>5,623,467</u>
Expenditures			
Town (Schedule 3)	2,599,433	2,919,060	2,709,526
Parks and Recreation (Schedule 5)	1,067,980	1,242,945	1,124,815
Water and Sewer (Schedule 6)	1,030,036	1,490,937	1,241,973
	<u>4,697,449</u>	<u>5,652,942</u>	<u>5,076,314</u>
Operating surplus	<u>1,001,329</u>	<u>567,184</u>	<u>547,153</u>
Other revenues			
Town (Schedule 3)	1,931,907	1,289,157	1,050,030
Water and Sewer (Schedule 6)	3,375,443	1,928,169	1,451,296
	<u>5,307,350</u>	<u>3,217,326</u>	<u>2,501,326</u>
	<u>6,308,679</u>	<u>3,784,510</u>	<u>3,048,479</u>
Annual surplus	<u>6,308,679</u>	<u>3,784,510</u>	<u>3,048,479</u>
Accumulated surplus - beginning of year	<u>27,270,759</u>	<u>27,270,759</u>	<u>24,222,280</u>
Accumulated surplus - end of year (Note 13)	<u>\$ 33,579,438</u>	<u>\$ 31,055,269</u>	<u>\$ 27,270,759</u>

Notes 1 - 21 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Consolidated Statement of Changes in Net Debt
Year Ended March 31, 2022

	Budget 2022	Actual 2022	Actual 2021
Annual surplus	\$ 6,308,679	\$ 3,784,510	\$ 3,048,479
Amortization of intangible assets	-	24,837	40,177
Amortization of tangible capital assets	-	935,032	892,776
Purchase of intangible assets	-	(62,655)	-
Purchase of tangible capital assets	(7,145,752)	(4,173,117)	(3,086,263)
Decrease (increase) in prepaid expense	-	29,017	(7,495)
Gain on disposal of tangible capital assets	-	-	(470)
Proceeds on disposal of tangible capital assets	-	-	725,000
	<u>(7,145,752)</u>	<u>(3,246,886)</u>	<u>(1,436,275)</u>
Decrease (increase) in net financial debt	(837,073)	537,624	1,612,204
Net financial debt - beginning of year	(3,267,090)	(3,267,090)	(4,879,294)
Net financial debt - end of year	\$ (4,104,163)	\$ (2,729,466)	\$ (3,267,090)

Notes 1 - 21 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Consolidated Statement of Cash Flows
Year Ended March 31, 2022

	2022	2021
Cash flows from operating activities		
Annual surplus	\$ 3,784,510	\$ 3,048,479
Items not affecting cash:		
Amortization of intangible assets	24,837	40,177
Amortization of tangible assets	935,032	892,776
Gain on disposal of tangible capital assets	-	(470)
Income from government business enterprise	(14,603)	-
	<u>4,729,776</u>	<u>3,980,962</u>
Changes in non-cash working capital:		
Accounts receivable	(51,110)	(328,235)
Prepaid expense	29,015	(7,495)
Accounts payable and accrued liabilities	660,609	72,235
Deferred revenue	(552,085)	(657,613)
Retirement obligation	12,826	17,511
	<u>99,255</u>	<u>(903,597)</u>
	<u>4,829,031</u>	<u>3,077,365</u>
Cash flows from capital activities		
Purchase of property and equipment	(4,173,117)	(3,086,263)
Purchase of intangible assets	(62,655)	-
Proceeds on disposal of property and equipment	-	725,000
	<u>(4,235,772)</u>	<u>(2,361,263)</u>
Cash flows from financing activities		
Advances (repayment) of operating loans	1,050,000	(400,000)
Repayment of long term debt	(491,674)	(478,543)
	<u>558,326</u>	<u>(878,543)</u>
Cash flows from investing activities		
Purchase of shares in Charlottetown Area Development Corporation	(111,810)	-
Increase (decrease) in cash	<u>1,039,775</u>	<u>(162,441)</u>
Cash - beginning of year	<u>1,039,410</u>	<u>1,201,851</u>
Cash - end of year	<u>2,079,185</u>	<u>1,039,410</u>
Cash consists of:		
Cash	\$ 380,212	\$ 595,083
Restricted cash	1,698,973	532,616
Bank indebtedness	-	(88,289)
	<u>\$ 2,079,185</u>	<u>\$ 1,039,410</u>

Notes 1 - 21 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Notes to Consolidated Financial Statements
Year Ended March 31, 2022

1. DESCRIPTION OF BUSINESS

The Town of Cornwall (the "Town") was incorporated under the Charlottetown Area Municipalities Act and continued under the Municipal Government Act. The Town is a non-profit organization under the Income Tax Act. The Town manages the municipal operations and also provides sewer and water services to its residents.

2. SIGNIFICANT ACCOUNTING POLICIES

Basis of presentation

These consolidated financial statements for the Town of Cornwall have been prepared by management in accordance with Canadian Accounting Standards for the Public Sector.

These consolidated financial statements are prepared using the accrual basis of accounting. The accrual basis of accounting records revenue as it is earned and measurable. Expenditures are recognized as they are incurred and measurable based upon receipt of goods or services and/or the legal obligation to pay.

Funds from external parties and earnings thereon restricted by agreement or legislation are accounted for as deferred revenue until used for the purpose specified.

Government transfers, contributions and other amounts are received from third parties pursuant to legislation, regulation or agreement and may only be used for certain programs and in the completion of specific work. In addition, certain user charges and fees are collected for which the related services have yet to be performed. Revenue is recognized in the year when the related expenditures are incurred, services are performed or the tangible capital assets are acquired.

Basis of consolidation

These consolidated financial statements for the Town of Cornwall reflect the assets, liabilities, revenues, expenditures, change in net debt and annual surplus of the Town. The Town is comprised of the municipal operations plus all of the organizations that are owned or controlled by the Town and are, therefore, accountable to the Town Council for the administration of their financial affairs and resources. Included with the municipality is the following:

Cornwall Water and Sewer Utility Corporation

A government business enterprise is a self-sustaining organization that has the financial and operating authority to sell goods and services to individuals and non-government organizations as its principal activity and source of revenue. Government business enterprises are accounted for on the modified equity basis. Their accounting principles are not adjusted to conform with those of the Town. The total net assets of all government business enterprises are reported as a separate item on the Consolidated Statement of Financial Position. The total net income from all government business enterprises is reported as a separate item on the Consolidated Statement of Operations. The Town's investment in government business enterprises include the following:

The Charlottetown Area Development Corporation (CADC)

Cash

Cash is comprised of cash on hand, unrestricted and restricted balances on deposit with banks and bank indebtedness.

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TOWN OF CORNWALL
Notes to Consolidated Financial Statements
Year Ended March 31, 2022

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

Accounts receivable

Accounts receivable arise from sewer and water levies, government funding, miscellaneous and Harmonized Sales Tax receivable. An allowance for bad debts has been calculated through discussions with management, assessment of the other circumstances influencing the collectibility of amounts, and using historical loss experience. Amounts deemed uncollectible are written off and deducted from the carrying value of the receivable. Amounts subsequently recovered from accounts previously written off are credited to the allowance account in the period of recovery.

Tangible capital assets

Tangible capital assets are recorded at cost which includes all amounts that are directly attributable to acquisition, construction, development or betterment of the asset. The cost, less residual value of the tangible capital assets, is amortized on a straight-line basis over the estimated useful life as follows:

Buildings	50 years
Sidewalks	30 years
Trails, parks and gardens	30 years
Pool	30 years
Sportsfields	20 years
Transit bus	10 years
Public works equipment	10 years
Recreation equipment	10 years
Town equipment	5 years
Vehicles and trailers	7 years
Sewer system	75 years
Water system	75 years
Meters	25 years
SCADA	20 years
Utility equipment	10 years
Vehicles and trailers	7 years
Office equipment	5 years

One-half of the annual rate is recorded in the year of acquisition; no amortization is recorded in the year of disposal.

Cornwall Water and Sewer Utility Corporation anticipates recovery of all of the costs related to the waterline installation on Osprey Avenue from Ferry Road to Primrose Drive from the developer. Cornwall Water and Sewer Utility Corporation estimates the recovery to be approximately \$97,147.

The anticipated recovery of these costs has not been reflected in the financial statements as the events giving rise to the recovery have not yet occurred.

Interest capitalization

Interest costs relating to major capital projects in progress are capitalized as part of tangible capital assets. Capitalization of interest ceases when the asset is substantially complete and ready for its intended productive use. During the year, \$15,531 interest was capitalized for the wellfield project.

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TOWN OF CORNWALL
Notes to Consolidated Financial Statements
Year Ended March 31, 2022

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

Impairment of long lived assets

The Town tests for impairment whenever events or changes in circumstances indicate that the carrying amount of the assets may not be recoverable. Recoverability is assessed by comparing the carrying amount to the projected future net cash flows the long-lived assets are expected to generate through their direct use and eventual disposition. When a test for impairment indicates that the carrying amount of an asset is not recoverable, an impairment loss is recognized to the extent the carrying value exceeds its fair value.

Intangible assets

The intangible assets consisting of official plan, utility rate study and electric transit plan are stated at cost are being amortized on a straight-line basis over their estimated useful lives of five years.

Non-Financial Assets

Non-financial assets are not available to discharge existing liabilities and are held for the use in the provision of services. They have useful lives extending beyond the current year and are not intended for sale in the normal course of operations. The change in non-financial assets during the year, together with the annual surplus, provides the consolidated change in net debt for the year.

Employee future benefits

Provision is made for benefits accruing to employees in respect of wages and salaries, retiring allowances, and defined contributions to employee benefit plans when it is probable that settlement will be required and they are capable of being measured reliably.

Government transfers

Government transfers are the transfer of assets from senior levels of government that are not the result of an exchange transaction, are not expected to be repaid in the future, or the result of a direct financial return.

Government transfers are recognized in the consolidated financial statements as revenue in the year in which events giving rise to the transfer occur, providing the transfers are authorized, any eligibility criteria have been met, and reasonable estimates on the amounts can be determined.

Revenue recognition

The Town follows the deferral method of accounting for contributions and grants. Restricted contributions are recognized as revenue in the year in which the related expenditures are incurred. Unrestricted contributions are recognized as revenue when received or receivable if the amount to be received can be reasonably estimated and collection is reasonably assured.

Property tax billings are based on the assessed value of real property in the Town and are payable in each calendar year. Municipal tax rates are reviewed, established and approved annually by the Town council. These revenues are recognized monthly as amounts are received from Province of Prince Edward Island.

Sewer and water dues are charged based on rates approved by Council. These charges are assessed quarterly and are recognized when billings come due.

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TOWN OF CORNWALL
Notes to Consolidated Financial Statements
Year Ended March 31, 2022

2. SIGNIFICANT ACCOUNTING POLICIES (continued)

Financial instruments

Financial instruments are recorded at fair value when acquired or issued. In subsequent periods, financial assets with actively traded markets are reported at fair value, with any unrealized gains and losses reported in operating surplus. All other financial instruments are reported at amortized cost, and tested for impairment at each reporting date. Transaction costs on the acquisition, sale, or issue of financial instruments that are subsequently measured at amortized cost are shown as an adjustment to the carrying value of the related financial instrument.

Management estimates

The presentation of the consolidated financial statements in conformity with Canadian Accounting Standards for the Public Sector requires management to make estimates and assumptions that affect the reported amount of assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenditures during the reporting period. Actual results could differ from those reported. The following are areas in which management makes significant accounting estimates:

- The amounts recorded for amortization of tangible capital assets and intangible assets on the statement of operations is subject to management's assessment of the estimated useful life of the Municipality's tangible capital assets and intangible assets.
- The recognized amounts of potential claims and liabilities depend on management's assessment of future costs and the probability these events will occur.

3. ACCOUNTS RECEIVABLE

	2022	2021
Government funding receivable	\$ 521,191	\$ 382,821
Utility billings receivable	231,458	216,681
HST receivable	62,341	133,142
Other receivables	34,636	34,778
	849,626	767,422
Allowance for doubtful accounts	(31,094)	-
	\$ 818,532	\$ 767,422

TOWN OF CORNWALL
Notes to Consolidated Financial Statements
Year Ended March 31, 2022

4. LONG TERM INVESTMENTS

The Town of Cornwall holds a 2% portion of the Charlottetown Area Development Corporation (CADC). Condensed financial information for CADC for the years ended March 31, 2022 and 2021 are as follows:

	2022	2021
<u>Consolidated Statement of Financial Position</u>		
Assets		
Current assets	\$ 8,126,322	\$ 10,416,573
Property inventory	2,573,292	3,235,217
Mortgages receivable	217,499	425,798
Property and equipment	30,478	40,530
Investment properties	69,207,373	54,065,503
	<u>\$ 80,154,964</u>	<u>\$ 68,183,621</u>
Liabilities		
Current liabilities	16,581,932	12,910,327
Long term debt	12,132,914	8,980,954
Deferred revenues	40,147,368	35,729,764
	<u>68,862,214</u>	<u>57,621,045</u>
Shareholder's equity		
Capital stock	2,500	2,500
Contributed surplus	4,526,706	4,526,706
Retained earnings	6,763,544	6,033,370
	<u>11,292,750</u>	<u>10,562,576</u>
Total liabilities and shareholders' equity	<u>\$ 80,154,964</u>	<u>\$ 68,183,621</u>

Consolidated Statement of Comprehensive Income

Revenues		
Operating income	\$ 1,345,044	\$ 1,864,176
Management fee	130,887	147,017
Interest	223,877	137,683
Miscellaneous	8,547	25,951
	<u>1,708,355</u>	<u>2,174,827</u>
Expenses	<u>978,181</u>	<u>1,015,355</u>
Net earnings for the year	730,174	1,159,472
Retained earnings - beginning of year	6,033,370	4,873,898
Retained earnings - end of year	<u>\$ 6,763,544</u>	<u>\$ 6,033,370</u>

Investment

Investment - beginning of year	\$ -	\$ -
Purchase of shares	111,810	-
Share of net income (2%)	14,603	-
	<u>\$ 126,413</u>	<u>\$ -</u>
Investment - end of year		

TOWN OF CORNWALL
Notes to Consolidated Financial Statements
Year Ended March 31, 2022

4. LONG TERM INVESTMENTS (continued)

Key Activities and Commitments:

Demand loans of \$11,976,067 (2021 - \$10,326,067) are due on demand, interest at prime minus 0.1% and bankers' acceptance rate plus 0.75%. Interest paid monthly.

Long term debt and the demand loans are secured by general security agreement representing a first charge on all assets, continuing collateral mortgages representing a first charge on all real property known as Harbourside Complex and an undertaking not to encumber or mortgage the property at 119 Euston Street, assignment of mortgage receivable and fire insurance for Harbourside Complex and general assignment of rents representing a first charge on rent on the Harbourside Complex.

The Province of Prince Edward Island is the majority shareholder of the The Charlottetown Area Development Corporation and the City of Charlottetown, the Town of Stratford, and the Town of Cornwall are minority shareholders.

5. DEMAND LOANS

	<u>2022</u>	<u>2021</u>
<u>Water and Sewer Utility</u>		
National Bank - prime rate less 0.75%; interest due monthly; maximum limit of \$550,000; renewable June 30, 2024.	\$ 150,000	\$ -
National Bank - prime rate less 0.75%; interest due monthly; maximum limit of \$2,614,244; due on demand.	<u>1,200,000</u>	<u>300,000</u>
	<u>\$ 1,350,000</u>	<u>\$ 300,000</u>

The Town also has an approved line of credit with National Bank of \$1,000,000, which is due for renewal on June 30, 2024, and was not utilized at the year end.

The Town must maintain the following financial ratios at all times:

- Working capital of at least \$1,000
- Working capital ratio of at least 1:1

TOWN OF CORNWALL
Notes to Consolidated Financial Statements
Year Ended March 31, 2022

6. DEFERRED REVENUE

	<u>2022</u>	<u>2021</u>
Province of PEI Safe Restart funding	\$ 73,299	\$ 169,101
Subdivision parkland reserve	21,224	149,747
Program funding	20,974	22,124
Parkland dedication reserve	17,815	17,815
Active Transportation	12,899	339,509
	<u>\$ 146,211</u>	<u>\$ 698,296</u>

Under the Canada Community Building Fund, the Town was allocated annual funding of \$1,414,306 for fiscal 2022. These funds, along with interest earned, must be used for eligible infrastructure and capacity building projects. Any funds received under this program, including interest earned, but not yet spent are recognized as deferred revenue at the end of the year.

During the year, the Town received Canada Community Building funding of \$1,414,306 and incurred eligible expenditures of \$1,436,301.

7. RETIREMENT OBLIGATION

The Town accrues a retirement allowance for certain employees over the age of 50. The Town has calculated an estimated reserve based on one week retirement allowance for each employee anticipated to meet the criteria. The expense for the plan is equal to the change in estimated allowance for the year which was \$12,826 (2021 - \$17,511). The retirement obligation allowance is included in the restricted cash balance.

8. LONG TERM DEBT

	<u>2022</u>	<u>2021</u>
<u>Town of Cornwall</u>		
National Bank of Canada - 3.23%, repayable in monthly blended installments of \$8,534; unsecured. The loan renews on November 20, 2024.	\$ 923,081	\$ 994,406
National Bank of Canada - 2.65%, repayable in monthly blended installments of \$12,932; unsecured. The loan renews on July 20, 2026.	637,229	773,546
National Bank of Canada - 3.25%, repayable in monthly blended installments of \$4,091; unsecured. The loan matured on February 1, 2022.	-	44,711
	<u>1,560,310</u>	<u>1,812,663</u>

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TOWN OF CORNWALL
Notes to Consolidated Financial Statements
Year Ended March 31, 2022

8. LONG TERM DEBT (continued)

	2022	2021
<u>Water and Sewer Utility</u>		
National Bank of Canada - 3%, repayable in monthly blended installments of \$13,178; unsecured. The loan renews on April 3, 2027.	745,103	878,691
National Bank of Canada - 2.4%, repayable in monthly blended installments of \$9,671; unsecured. The loan renews on July 26, 2025.	372,284	478,017
	<u>1,117,387</u>	<u>1,356,708</u>
	<u>\$ 2,677,697</u>	<u>\$ 3,169,371</u>

Principal repayments of long term debt are expected to be repaid over the next five years as follows:

2023	\$ 459,632
2024	472,618
2025	1,180,708
2026	341,586
2027	209,545

9. CONTINGENT LIABILITY

The Town commenced a legal action against a resident for reimbursement of expenses incurred in the cleanup of a property. The resident has filed a cross claim with no amount formally claimed as of yet. In the opinion of management and legal counsel, the likelihood of any liability to the Town is unknown at this time. Should any loss result from the resolution of these claims, such loss will be charged to operations in the year of resolution.

A statement of claim was filed against the Town, which seeks removal of a berm that the Town had constructed on another company's property. The claim alleges that the berm causes run-off and water damage to the company's buildings. The company seeks an unspecified amount for damages and other costs and expenses. The Town has filed a statement of defence, but the liability remains in dispute at the reporting date. In the opinion of management and legal counsel, the likelihood of any liability to the Town is unknown at this time. Should any loss result from future legal action, such loss will be charged to operations in the year of resolution.

The Town has two outstanding insurance claims regarding property damage caused by sewer backups. Total anticipated costs for the claims are \$54,000 and the Town's deductible for each claim is \$10,000. The Town is uncertain whether these will be successful claims at this time.

TOWN OF CORNWALL
Notes to Consolidated Financial Statements
Year Ended March 31, 2022

10. COMMITMENTS

The Town has entered into an agreement with the Eastern School District for the period of October 19, 2005 to October 18, 2025 for the development of sports fields located on the Eastern School District lands, including responsibilities for each party. The agreement may be extended for a further ten years on the same terms if both parties agree to the extension. The Eastern School District agrees to lease to the Town the Eastern School District portion of the Sports Fields during the twenty year term and can be extended a further ten years. The Town shall have right of first refusal should the Eastern School District be desirous of selling its interest in the sports field.

The Town has entered into a lease agreement with DeLage Landen Financial Services for the lease of a photocopier and a contract agreement with the PEI Humane Society for animal control services. The minimum payments due over the next four years are as follows:

2023	\$ 14,232
2024	14,484
2025	1,920
2026	480

11. INTANGIBLE ASSETS

	2022	2021
Intangible assets	\$ 280,269	\$ 217,614
Accumulated amortization	(172,901)	(148,064)
	<u>\$ 107,368</u>	<u>\$ 69,550</u>

12. GOVERNMENT TRANSFERS

	2022	2021
<u>Government transfers for operations</u>		
<u>Town</u>		
Provincial equalization grant	\$ 429,767	\$ 410,279
Municipal Capital Expenditure Grant	151,773	122,596
Provincial Safe Restart program	3,715	66,652
Other program support	-	10,000
	<u>585,255</u>	609,527
<u>Water and Sewer Utility</u>		
Municipal Capital Expenditure Grant	<u>223,311</u>	168,694
	<u>808,566</u>	778,221
<u>Government transfers for capital</u>		
<u>Town</u>		
Active Transportation Funding	722,936	120,750
Canada Community Building Fund	467,324	914,493
Province of PEI Safe Restart Funding	92,087	14,317
Investing in Canada Infrastructure Program	6,810	-
	<u>1,289,157</u>	1,049,560

(continues)

TOWN OF CORNWALL
Notes to Consolidated Financial Statements
Year Ended March 31, 2022

12. GOVERNMENT TRANSFERS (continued)

	2022	2021
Government transfers for capital		
Water and Sewer Utility		
Canada Community Building Fund	976,066	762,280
Investing in Canada Infrastructure Program	952,103	689,016
	<u>1,928,169</u>	<u>1,451,296</u>
	<u>3,217,326</u>	<u>2,500,856</u>
	<u>\$ 4,025,892</u>	<u>\$ 3,279,077</u>

13. ACCUMULATED SURPLUS

	2022	2021
Unrestricted surplus (deficit)	\$ -	\$ (18,977)
Reserves (Note 14)	89,777	-
Investment in tangible capital assets (Note 15)	30,965,492	27,289,736
	<u>\$ 31,055,269</u>	<u>\$ 27,270,759</u>

14. RESERVES

	2022	2021
Balance - beginning of year	\$ -	\$ -
Allocation from operations	89,777	-
Reserve expenditures	-	-
	<u>\$ 89,777</u>	<u>\$ -</u>
Balance - end of year		
	<u>\$ 89,777</u>	<u>\$ -</u>
Comprised of:		
Reserve - contingency	\$ 89,777	\$ -

15. INVESTMENT IN TANGIBLE CAPITAL ASSETS

	2022	2021
Tangible capital assets (Schedules 1 and 2)	\$ 50,012,992	\$ 45,893,876
Accumulated amortization (Schedules 1 and 2)	(16,369,803)	(15,434,769)
Long term debt (Note 8)	(2,677,697)	(3,169,371)
	<u>\$ 30,965,492</u>	<u>\$ 27,289,736</u>

TOWN OF CORNWALL
Notes to Consolidated Financial Statements
Year Ended March 31, 2022

16. ADMINISTRATION FEE

During the year, the Town received a management fee totaling \$100,000 (2021 - \$75,000) from the Cornwall Water and Sewer Utility Corporation for payment of the administration costs incurred by the Town on behalf of the Utility. The transaction was in the ordinary course of business and was reflected at fair market value.

17. BUDGET FIGURES

A reconciliation of the 2022 fiscal operating budget prepared by Council to the budget figures disclosed in the consolidated financial statements is as follows:

	<u>2022</u>
Town of Cornwall and Utility budgeted surplus	\$ 50,931
Add: Government transfers for capital	5,307,350
Add: Capital debt payment	464,262
Add: Capital funded from operations	<u>486,136</u>
	<u>\$ 6,308,679</u>

The budget figures provided on Statements 5 and 6 and Schedules 3 - 6 have not been audited or reviewed by the external auditor.

18. FINANCIAL INSTRUMENTS

The Town's financial instruments consist of cash, accounts receivable, accounts payable and accrued liabilities, retirement obligation, and long term debt.

The Town is exposed to various risks through its financial instruments and has a comprehensive risk management framework to monitor, evaluate and manage these risks. The following analysis provides information about the Town's risk exposure and concentration as of March 31, 2022.

(a) Credit risk

Credit risk arises from the potential that a counter party will fail to perform its obligations. The Town is exposed to credit risk from customers. In order to reduce its credit risk, the Town reviews a new customer's credit history before extending credit and conducts regular reviews of its existing customers' credit performance. An allowance for doubtful accounts is established based upon factors surrounding the credit risk of specific accounts, historical trends and other information. The Town has a significant number of customers which minimizes concentration of credit risk.

(b) Liquidity risk

Liquidity risk is the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities. The Town is exposed to this risk mainly in respect of its receipt of funds from its customers and other related sources, long-term debt, and accounts payable.

(c) Interest rate risk

Interest rate risk is the risk that the value of a financial instrument might be adversely affected by a change in the interest rates. In seeking to minimize the risks from interest rate fluctuations, the Town manages exposure through its normal operating and financing activities. The Town is exposed to interest rate risk primarily through its floating interest rate credit facilities.

TOWN OF CORNWALL
Notes to Consolidated Financial Statements
Year Ended March 31, 2022

19. SEGMENT DISCLOSURES

The Town is a diversified municipal unit that provides a wide range of services to its citizens. For management reporting purposes, the Town's operations and activities are organized and reported by segment. The major segments are as follows:

General Government

This segment is responsible for the overall financial and local government administration. Its tasks include, but are not limited to, daily accounting functions, preparation and coordination of annual consolidated audited financial statements, development of the annual budget, human resource functions for the entire Town, maintenance of bylaws and policies, oversight of public works, maintenance of Town facilities, and administration of Town services.

Parks and Recreation

This segment is responsible for promoting and offering recreation opportunities and activities for its residents. Its tasks include the operations and maintenance of the Town parks and recreational buildings.

Water and Sewer Utility

This segment is responsible for the maintenance and operations of water and sewer services provided to residents and other customers.

20. SUBSEQUENT EVENTS

In March 2020, the World Health Organization declared a global pandemic due to the novel coronavirus (COVID-19). The situation is constantly evolving, and the measures put in place are having multiple impacts on local, provincial, national and global economies.

The overall effect of these events on the Town and its operations is too uncertain to be estimated at this time. The impacts will be accounted for when they are known and may be assessed.

21. COMPARATIVE FIGURES

Some of the comparative figures have been reclassified to conform to the current year's presentation.

TOWN OF CORNWALL
Schedules to Consolidated Financial Statements
Tangible Capital Assets
Year Ended March 31, 2022

(Schedule 1)

	Cost beginning of year	Additions	Disposals and write downs	Cost end of year	Accum amort beginning of year	Amort in the year	Disposals and write downs	Accum amort end of year	Net book value
Town	\$	\$	\$	\$	\$	\$	\$	\$	\$
Land	572,238	-	-	572,238	-	-	-	-	572,238
Town buildings	1,929,547	15,406	-	1,944,953	1,126,455	38,745	-	1,165,200	779,753
Public works buildings	369,095	113,674	-	482,769	240,346	8,303	-	248,649	234,120
Recreation buildings	3,607,389	26,043	-	3,633,432	1,676,958	71,548	-	1,748,506	1,884,926
Sidewalks	2,464,181	-	-	2,464,181	1,660,235	54,317	-	1,714,552	749,629
Trails, parks and gardens	1,102,886	1,366,909	-	2,469,795	144,609	54,968	-	199,577	2,270,218
Pool	123,391	-	-	123,391	123,391	-	-	123,391	-
Sportfields	4,886,621	21,573	-	4,908,194	3,396,050	158,687	-	3,554,737	1,353,457
Transit bus	538,698	10,649	-	549,347	353,821	54,402	-	408,223	141,124
Public works equipment	158,087	2,228	-	160,315	136,946	4,062	-	141,008	19,307
Recreation equipment	305,635	42,992	-	348,627	255,988	7,881	-	263,869	84,758
Town equipment	285,211	36,647	-	321,858	245,755	17,423	-	263,178	58,680
Public works vehicles and trailers	64,643	-	-	64,643	64,643	-	-	64,643	-
Recreations vehicles and trailers	213,829	36,547	-	250,376	213,829	2,610	-	216,439	33,937
Planning vehicles	-	17,027	-	17,027	-	1,216	-	1,216	15,811
	\$ 16,621,451	\$ 1,689,695	\$ -	\$ 18,311,146	\$ 9,639,026	\$ 474,162	\$ -	\$ 10,113,188	\$ 8,197,958

(continues)

Notes 1 to 21 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Schedules to Consolidated Financial Statements
Tangible Capital Assets
Year Ended March 31, 2022

(Schedule 1)

	Cost beginning of year	Additions	Disposals and write downs	Cost end of year	Accum amort beginning of year	Amort in the year	Disposals and write downs	Accum amort end of year	Net book value
Sewer									
Land	\$ 764,043	\$ -	-	\$ 764,043	\$ -	\$ -	-	\$ -	\$ 764,043
Sewer system	15,473,034	1,051,652	-	16,524,686	3,164,044	214,156	-	3,378,200	13,146,486
Water system	12,073,284	1,381,400	-	13,454,684	2,315,183	170,203	-	2,485,386	10,969,298
Buildings	4,011	-	-	4,011	1,083	80	-	1,163	2,848
Meters	29,261	5,098	-	34,359	4,194	1,143	-	5,337	29,022
SCADA	333,354	-	-	333,354	2,713	16,668	-	19,381	313,973
Equipment	118,406	-	-	118,406	89,622	2,878	-	92,500	25,906
Vehicles and trailers	129,750	45,271	-	175,021	126,872	4,019	-	130,891	44,130
Office equipment	293,282	-	-	293,282	92,033	51,724	-	143,757	149,525
	\$ 29,218,425	\$ 2,483,421	-	\$ 31,701,846	\$ 5,795,744	\$ 460,871	-	\$ 6,256,615	\$ 25,445,231
Total	\$ 45,839,876	\$ 4,173,117	-	\$ 50,012,992	\$ 15,434,769	\$ 935,032	-	\$ 16,369,803	\$ 33,643,190

Notes 1 to 21 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Schedules to Consolidated Financial Statements
Tangible Capital Assets
Year Ended March 31, 2021

(Schedule 2)

	Cost beginning of year	Additions	Disposals and write downs	Cost end of year	Accum amort beginning of year	Amort in the year	Disposals and write downs	Accum amort end of year	Net book value
Town									
Land	\$ 1,290,799	\$ 5,969	\$ 724,530	\$ 572,238	\$ -	\$ -	\$ -	\$ -	\$ 572,238
Town buildings	1,929,547	-	-	1,929,547	1,087,864	38,591	-	1,126,455	803,092
Public works buildings	369,095	-	-	369,095	230,490	9,856	-	240,346	128,749
Recreation buildings	3,578,534	28,855	-	3,607,389	1,606,248	70,710	-	1,676,958	1,930,431
Sidewalks	2,420,731	43,450	-	2,464,181	1,607,366	52,869	-	1,660,235	803,946
Trails, parks, and gardens	172,570	930,316	-	1,102,886	143,232	1,377	-	144,609	958,277
Pool	123,391	-	-	123,391	123,391	-	-	123,391	-
Sportsfields	4,744,205	142,416	-	4,886,621	3,155,673	240,377	-	3,396,050	1,490,571
Transit bus	476,514	62,184	-	538,698	306,169	47,652	-	353,821	184,877
Public works equipment	158,087	-	-	158,087	132,996	3,950	-	136,946	21,141
Recreation equipment	266,006	39,629	-	305,635	245,994	9,994	-	255,988	49,647
Town equipment	267,695	17,516	-	285,211	231,021	14,734	-	245,755	39,456
Public works vehicles and trailers	64,643	-	-	64,643	64,643	-	-	64,643	-
Recreation vehicles and trailers	213,829	-	-	213,829	213,741	88	-	213,829	-
	\$ 16,075,646	\$ 1,270,335	\$ 724,530	\$ 16,621,451	\$ 9,148,828	\$ 490,198	\$ -	\$ 9,639,026	\$ 6,982,425

(continues)

TOWN OF CORNWALL
Schedules to Consolidated Financial Statements
Tangible Capital Assets
Year Ended March 31, 2021

(Schedule 2)

	Cost beginning of year	Additions	Disposals and write downs	Cost end of year	Accum amort beginning of year	Amort in the year	Disposals and write downs	Accum amort end of year	Net book value
Water & Sewer									
Land	\$ 764,043	\$ -	\$ -	\$ 764,043	\$ -	\$ -	\$ -	\$ -	\$ 764,043
Sewer system	15,100,090	372,944	-	15,473,034	2,962,709	201,335	-	3,164,044	12,308,990
Water system	10,958,411	1,114,873	-	12,073,284	2,174,846	140,337	-	2,315,183	9,758,101
Buildings	4,011	-	-	4,011	1,003	80	-	1,083	2,928
Meters	21,720	7,541	-	29,261	3,454	740	-	4,194	25,067
SCADA	43,764	289,590	-	333,354	525	2,188	-	2,713	330,641
Equipment	89,622	28,784	-	118,406	86,513	3,109	-	89,622	28,784
Vehicles and trailers	129,750	-	-	129,750	126,087	785	-	126,872	2,878
Office equipment	291,087	2,195	-	293,282	38,029	54,004	-	92,033	201,249
	\$ 27,402,498	\$ 1,815,927	\$ -	\$ 29,218,425	\$ 5,393,166	\$ 402,578	\$ -	\$ 5,795,744	\$ 23,422,681
Total	\$ 43,478,144	\$ 3,086,263	\$ 724,530	\$ 45,839,876	\$ 14,541,994	\$ 892,776	\$ -	\$ 15,434,769	\$ 30,405,105

Notes 1 to 21 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Statement of Operations - Town
Year Ended March 31, 2022

(Schedule 3)

	Budget 2022	Actual 2022	Actual 2021
Revenues			
Municipal property tax	\$ 2,817,123	\$ 3,031,259	\$ 2,735,115
Government transfers for operations (Note 12)	701,262	585,255	609,527
Contributions from developers	-	128,523	20,750
Administration fee (Note 16)	100,000	100,000	75,000
Building permits and subdivision fees	55,000	86,230	62,198
Fines	50,000	62,028	54,764
Facility rentals	14,195	17,478	12,340
Income from government business enterprise	-	14,603	-
Other	4,500	13,960	4,683
Interest	5,000	7,913	12,273
	3,747,080	4,047,249	3,586,650
Expenditures			
Administration (Schedule 4)	636,932	577,254	627,243
Planning (Schedule 4)	224,015	207,254	228,761
Professional Services (Schedule 4)	100,940	92,366	109,268
Public Works (Schedule 4)	347,242	550,821	433,662
Town Facilities (Schedule 4)	84,400	120,459	125,687
Town Services (Schedule 4)	1,205,904	1,370,906	1,184,905
	2,599,433	2,919,060	2,709,526
Operating surplus	1,147,647	1,128,189	877,124
Other revenues			
Government transfers for capital (Note 12)	1,931,907	1,289,157	1,049,560
Gain on disposal of tangible capital assets	-	-	470
	1,931,907	1,289,157	1,050,030
Annual surplus	\$ 3,079,554	\$ 2,417,346	\$ 1,927,154

Notes 1 - 21 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Schedule of Expenditures - Town
Year Ended March 31, 2022

(Schedule 4)

	Budget 2022	Actual 2022	Actual 2021
Administration			
Advertising, printing and subscriptions	\$ 4,000	\$ 1,003	\$ 3,737
Amortization of intangible assets	-	21,372	40,177
Amortization of tangible capital assets	-	17,423	14,734
Bad debts	-	6,094	-
Communities 13	11,000	10,452	10,430
Communities 13 capital projects	16,415	16,415	16,415
Computers	2,500	635	3,945
Council honoraria	62,020	36,993	52,033
Debit machine charges	5,000	4,484	4,008
Donations	21,500	21,500	13,938
Election	22,500	25,262	17,735
FCM annual meeting	1,000	1,340	614
Insurance	47,000	55,331	39,213
Interest on long term debt	56,857	50,706	60,816
Meetings and events	8,000	4,923	4,879
Miscellaneous	15,000	9,052	25,765
Office supplies and postage	14,500	13,893	15,587
Salaries and benefits	312,890	235,476	266,173
Telephone	28,500	40,756	29,294
Training	7,000	3,410	6,280
Travel	1,250	734	1,470
	636,932	577,254	627,243
Planning			
Affordable housing	5,000	5,826	5,063
Amortization of tangible capital assets	-	1,216	-
Annual conference and membership	4,500	280	240
Emergency measures plan	3,000	484	1,491
GIS	2,000	3,736	3,546
Salaries and benefits	201,415	191,359	210,860
Tools and equipment	-	324	540
Training and development	6,500	1,238	4,978
Travel	1,000	26	2,043
Vehicle	600	2,765	-
	224,015	207,254	228,761
Professional Services			
Audit	11,500	14,807	15,414
Bylaw enforcement	6,240	6,240	6,240
Engagement	5,000	105	388
Engineering fees	5,600	3,783	5,549
Federation of Canadian Municipalities	1,900	1,754	1,770
Federation of PEI Municipalities	10,700	10,898	10,662
Information technology	15,000	28,536	15,277
Legal fees	23,000	15,897	36,672
Miscellaneous	22,000	10,346	17,296
	100,940	92,366	109,268

(continues)

Notes 1 - 21 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Schedule of Expenditures - Town
Year Ended March 31, 2022

(Schedule 4)

	Budget 2022	Actual 2022	Actual 2021
Public Works			
Amortization of tangible capital assets	-	121,085	114,327
Grass cutting	21,600	21,600	20,999
Property taxes	2,000	1,438	1,749
Public works maintenance and repairs	25,000	22,693	21,207
Salaries and benefits	213,642	247,592	172,775
Sidewalk maintenance	65,000	110,867	81,917
Small tools and supplies	10,000	10,788	11,522
Tractor	3,500	6,560	3,802
Trucks and snowblower	6,500	8,198	5,364
	<u>347,242</u>	<u>550,821</u>	<u>433,662</u>
Town Facilities			
Amortization of tangible capital assets	-	38,745	38,591
Maintenance building	20,400	25,279	24,535
Town Hall	64,000	56,435	62,561
	<u>84,400</u>	<u>120,459</u>	<u>125,687</u>
Town Services			
Animal control	12,060	12,072	11,942
Charging stations	-	1,041	-
Fire dues	312,656	365,441	322,899
Policing services	663,688	760,312	638,652
Street lights	95,000	96,941	89,313
Transit	122,500	135,099	122,099
	<u>1,205,904</u>	<u>1,370,906</u>	<u>1,184,905</u>
	<u>\$ 2,599,433</u>	<u>\$ 2,919,060</u>	<u>\$ 2,709,526</u>

Notes 1 - 21 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Statement of Operations - Parks and Recreation (Schedule 5)
Year Ended March 31, 2022

	Budget 2022	Actual 2022	Actual 2021
Revenues			
Programs	\$ 228,475	\$ 267,061	\$ 236,811
Government transfers for operations			
Wage subsidies	100,000	123,480	188,901
Recreation leadership	5,000	5,000	5,000
Program support	5,000	687	1,900
Sportfield rentals	47,750	63,910	42,894
Special events	7,000	10,265	9,631
	<u>393,225</u>	<u>470,403</u>	<u>485,137</u>
Expenditures			
Amortization of tangible capital assets	-	295,694	322,547
APM Centre rental	2,200	1,875	2,808
Ballfield	1,500	1,681	1,319
Civic Centre	56,500	68,042	55,383
Events	36,700	9,265	10,327
Motor vehicles	14,900	17,199	12,873
Parks and park equipment maintenance	49,000	43,553	42,769
Pool	7,300	7,706	4,464
Programs	46,000	33,514	26,854
Salaries and benefits	805,080	714,392	599,097
Terry Fox Clubhouse	32,600	34,791	35,067
Terry Fox Sports Fields	9,500	12,404	7,631
Training and development	3,700	477	1,465
Travel	3,000	2,352	2,211
	<u>1,067,980</u>	<u>1,242,945</u>	<u>1,124,815</u>
Operating deficit	<u>\$ (674,755)</u>	<u>\$ (772,542)</u>	<u>\$ (639,678)</u>

Notes 1 - 21 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Statement of Operations - Water and Sewer Utility (Schedule 6)
Year Ended March 31, 2022

	Budget 2022	Actual 2022	Actual 2021
Revenues			
Sewer levies	\$ 713,882	\$ 733,201	\$ 701,403
Water levies	665,091	704,401	661,624
Government transfers for operations (Note 12)	150,000	223,311	168,694
Interest on accounts	17,000	26,097	3,552
Frontage rates	11,000	10,657	14,184
Other	-	2,577	(7)
Inspection fees	1,500	2,230	2,230
	1,558,473	1,702,474	1,551,680
Expenditures			
Administration fee	100,000	100,000	75,000
Amortization of intangible assets	-	3,465	-
Amortization of tangible capital assets	-	460,870	402,578
Bad debts	-	25,000	-
Debit machine charges	5,800	5,466	5,635
Equipment	10,000	3,601	3,358
Insurance	20,400	40,311	32,655
Interest on long term debt	70,215	33,595	51,828
Maintenance - lagoon	15,000	11,550	23,121
Maintenance - sewer	50,000	33,728	27,344
Maintenance - water	50,000	41,150	47,631
Memberships	1,500	1,419	1,878
Motor vehicle	23,000	24,231	20,561
Office	15,500	10,943	14,601
Power - sewer	95,000	98,916	88,625
Power - water	56,600	59,123	54,084
Professional fees	40,000	17,094	35,409
Property tax	2,500	3,819	3,456
Salaries and benefits	447,521	489,381	332,055
Telephone	5,500	5,936	4,647
Training and development	5,000	2,313	1,135
Uniforms	-	2,106	-
Water conservation program	1,500	335	290
Water test and inspections	15,000	16,585	16,082
	1,030,036	1,490,937	1,241,973
Operating surplus	528,437	211,537	309,707
Other revenues			
Government transfers for capital (Note 12)	3,375,443	1,928,169	1,451,296
Annual surplus	\$ 3,903,880	\$ 2,139,706	\$ 1,761,003

Notes 1 - 21 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Schedules to Consolidated Financial Statements (Schedule 7)
Segment Disclosures
Year Ended March 31, 2022

	General Government	Water and Sewer Utility	Parks and Recreation	Elimination	Consolidated 2022
Revenues					
Property taxes	\$ 3,031,259	\$ -	\$ -	\$ -	\$ 3,031,259
Government transfers for operations	585,255	223,311	129,167	-	937,733
Contributions from developers	128,523	-	-	-	128,523
Administration fee	100,000	-	-	(100,000)	-
Building permits and fees	86,230	-	-	-	86,230
Fines	62,028	-	-	-	62,028
Other	53,954	41,561	74,175	-	169,690
Water and sewer levies	-	1,437,602	-	(7,856)	1,429,746
Programs	-	-	267,061	-	267,061
	<u>4,047,249</u>	<u>1,702,474</u>	<u>470,403</u>	<u>(107,856)</u>	<u>6,112,270</u>
Expenditures					
Salaries and benefits	674,427	489,381	714,392	-	1,878,200
Goods and services	1,994,086	503,626	232,859	(107,856)	2,622,715
Amortization	199,841	464,335	295,694	-	959,870
Interest	50,706	33,595	-	-	84,301
	<u>2,919,060</u>	<u>1,490,937</u>	<u>1,242,945</u>	<u>(107,856)</u>	<u>5,545,086</u>
Operating surplus (deficit)	<u>1,128,189</u>	<u>211,537</u>	<u>(772,542)</u>	<u>-</u>	<u>567,184</u>
Government transfers for capital	<u>1,289,157</u>	<u>1,928,169</u>	<u>-</u>	<u>-</u>	<u>3,217,326</u>
Annual surplus (deficit)	<u>\$ 2,417,346</u>	<u>\$ 2,139,706</u>	<u>\$ (772,542)</u>	<u>\$ -</u>	<u>\$ 3,784,510</u>

Notes 1 to 21 are an integral part of these consolidated financial statements

TOWN OF CORNWALL
Schedules to Consolidated Financial Statements (Schedule 8)
Segment Disclosures
Year Ended March 31, 2021

	General Government	Water and Sewer Utility	Parks and Recreation	Elimination	Consolidated 2021
Revenues					
Property taxes	\$ 2,735,115	\$ -	\$ -	\$ -	\$ 2,735,115
Government transfers for operations	609,527	168,694	195,801	-	974,022
Administration fee	75,000	-	-	(75,000)	-
Building permits and fees	62,198	-	-	-	62,198
Fines	54,764	-	-	-	54,764
Other	29,296	19,959	52,525	-	101,780
Contributions from developers	20,750	-	-	-	20,750
Water and sewer levies	-	1,363,027	-	(5,288)	1,357,739
Programs	-	-	236,811	-	236,811
	<u>3,586,650</u>	<u>1,551,680</u>	<u>485,137</u>	<u>(80,288)</u>	<u>5,543,179</u>
Expenditures					
Salaries and benefits	649,808	332,055	599,097	-	1,580,960
Goods and services	1,791,073	455,512	203,171	(80,288)	2,369,468
Amortization	207,829	402,578	322,547	-	932,954
Interest	60,816	51,828	-	-	112,644
	<u>2,709,526</u>	<u>1,241,973</u>	<u>1,124,815</u>	<u>(80,288)</u>	<u>4,996,026</u>
Operating surplus (deficit)	877,124	309,707	(639,678)	-	547,153
Government transfers for capital	1,049,560	1,451,296	-	-	2,500,856
Gain on disposal of tangible capital assets	470	-	-	-	470
Annual surplus (deficit)	<u>\$ 1,927,154</u>	<u>\$ 1,761,003</u>	<u>\$ (639,678)</u>	<u>\$ -</u>	<u>\$ 3,048,479</u>

Notes 1 to 21 are an integral part of these consolidated financial statements